REVITALIZING ALBERTA'S INDEPENDANT CANNABIS SECTOR

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Revitalizing Alberta's
Independant Cannabis Sector

STREAMLINING REGULATION TO PROTECT LOCAL JOBS, CURB MONOPOLIES, AND SUPPORT ALBERTA-GROWN INNOVATION

BACKGROUND

LEGAL SINCE 2018

Alberta leads private delivery with ~800 retail stores across the province.

ALBERTA'S MODEL

Alberta has an open, entrepreneurial-driven market model.

ECONOMIC IMPACT

The cannabis sector contributes $7.5 billion towards GDP and supports over 125,000 jobs.

THREATS TO THE INDUSTRY

Small businesses are now facing threats by negative regulatory and market pressures.

INDUSTRY OVERVIEW

MANUFACTURING & RETAIL IN CRISIS

LOST INVESTMENTS	$23 billion out of $25 billion invested since 2018 have been lost.
TAX PRESSURES	Canadian Revenue Agency's tax collection has forced closures.
REORGANIZATIONS	40% of reorganizations in Canada were cannabis-related.
PROFITABILITY STRUGGLES	Only 4 to 5 LPs are profitable out of 300+.
RETURNING BLACK MARKET	The cannabis black market is resurging to to price and enforcement gaps.

RETAIL SECTOR CHALLENGES

- Predatory pricing and inter-store transfers
- Black market competition and unregulated vendors
- Investor losses affecting retirement savings
- Corporate Monopolization
  (200+ store networks)
- Shelf-space access sold to producers

MANUFACTURING SECTOR CHALLENGES

- $1/gram excise tax = ~45% tax on low-price products.
- Based on $7/gram forcast; Real avg. is $2.25/gram.
- 11 audits in 8 months e.g., Freedom Cannabis.
- Parkland Cannabis laid off 50% of its staff despite compliance.
- Regulatory burden stifles innovation and scale in the industry.

POLICY FAILURES AND REGULATORY GAPS

The current
"Greater of $1 or 10%"
tax model is outdated.

Changing to a
"lesser of $1 or 10%"
would equal overnight relief.

- CRA enforcement is driving bankruptcies.
- No independant voice on the AGLC board.
- Other regions (e.g., B.C., U.S. States,) are currently modernizing their frameoworks.

ALBERTA'S STRATEGIC OPPORTUNITY

- Red-tape reduction = **competitive edge**.
- It's not about rewarding bad actors - **its about saving jobs**.
- **Canada can lead globally** as the United States lags.
- Alberta-first approach **retains value** and **reinvestment**.
- Without reform, **monopolies win** and **communities lose**.

POLICY RECOMMENDATIONS

1	Ban inter-store transfers & cap corporate store ownership.
2	Change excise tax to **"lesser of $1 or 10%"**.
3	Grants, loans, and tax releif tied to Alberta ownership.
4	Introduce carrier liability for black market shipments.
5	Add independent reps to the AGLC board.
6	Support Alberta-based processors via procurement and reduced fees.

TARGETED LOCAL ACTIONS

- Remove 2% discount & salvage fees.
- Reduce delivery fees. (~$800/month savings)
- Cap corporate market share.
- Support vertical integration.
- Simplify licensing & reporting for small business.

FINAL ASK & NEXT STEPS

1

PUSH CHANGE FROM **"GREATER OF"** TO **"LESSER OF"**.

2

SUSPEND ALBERTA'S DISCOUNT AND SALVAGE FEES.

3

LAUNCH FORMAL **RED TAPE REVIEW**.

4

COORDINATE ON TAXATION REFORM **WITH FEDERAL PARTNERS**.

FINAL ASK & NEXT STEPS

1	Establish a working group within 30 days.
2	Follow-up meeting within 60 days.
3	Begin stakeholder outreach immediatley

THANK YOU FOR YOUR LEADERSHIP

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